Practice workbook · Is it capital or revenue expenditure?

Deciding for each cost, often around buying a vehicle, machine or building, whether it is capital or revenue spending, and totalling each group.

17 question parts: 1 worked-example retry and 16 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-REC-22

1. Question 12 · part whole · 5 marks

2024 JUN · Paper 01

Worked-example retry · Attempt part whole only.

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12 Identify, indicating with a tick (✓), whether **each** item represents capital expenditure or revenue expenditure when purchasing a motor vehicle for use in the business.

	Capital expenditure	**Revenue expenditure**
Cost of motor vehicle		
Delivery cost		
Extended warranty		
Fuel		
Insurance		

(Total for Question 12 = 5 marks)

Working and answer

OLevels.com SCHOOL

2. Question 18 · part c · 4 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

18 (a) Define the terms:

(i) other payables

(2)

(ii) other receivables.

(2)

Waseem is preparing his financial statements for the year ended 31 May 2018.

On 5 June 2018 he received an invoice, $960, for advertising covering the period 1 March 2018 to 31 October 2018.

(b) Calculate the amount to be added to the advertising account for the year ended 31 May 2018.

(2)

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2. Question 18 · part c · 4 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(c) Complete the table by indicating with a tick (✓) which transactions are revenue expenditure and which are capital expenditure.

(4)

Transaction	Revenue expenditure	Capital expenditure
Factory roof repairs		
Factory extension		
Machinery installation		
Machinery maintenance		

(d) Evaluate why it is important for a business to distinguish between revenue expenditure and capital expenditure.

(5)

(Total for Question 18 = 15 marks)

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2. Question 18 · part c · 4 marks · Working and answer

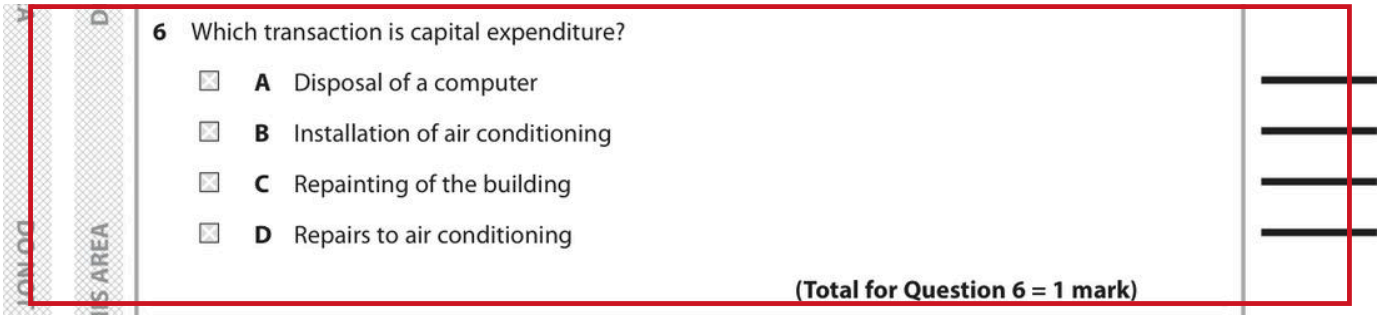
Working and answer

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3. Question 6 · part whole · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part whole only.



6 Which transaction is capital expenditure?

- ☒ **A** Disposal of a computer
- ☒ **B** Installation of air conditioning
- ☒ **C** Repainting of the building
- ☒ **D** Repairs to air conditioning

(Total for Question 6 = 1 mark)

Working and answer

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4. Question 12 · part whole · 5 marks

2020 JAN · Paper 01

Further practice · Attempt part whole only.

DO NOT WRITE IN THIS AREA

12 Complete the table indicating with a tick (✓) whether **each** item is capital expenditure or revenue expenditure.

	Capital expenditure	Revenue expenditure
Delivery costs of a new motor vehicle		
Motor vehicle insurance		
Installation costs of new machinery		
Legal costs on purchase of business premises		
Bank interest on loan to purchase business premises		

(Total for Question 12 = 5 marks)

Working and answer

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5. Question 12 · part whole · 5 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part whole only.

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12 Complete the table, using a tick (✓), to indicate how **each** item would be classified when a new motor vehicle is purchased.

Item	Capital expenditure	Revenue expenditure
Vehicle cost		
Delivery cost		
Insurance		
Additional shelving		
Fuel		

(Total for Question 12 = 5 marks)

Working and answer

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6. Question 18 · part b · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part b only.

18 (a) State **two** benefits of using technology in accounting.

(2)

1 .....

.....

2 .....

.....

(b) Complete the table, indicating with a tick (✓) how **each** item would be classified when purchasing hardware.

(3)

Item	Capital expenditure	Revenue expenditure
Installation cost		
Delivery cost		
Consumables		

A trader received a bank statement on 31 March 2020 showing a credit balance of $791. On the same date the cash book showed a debit balance of $1210.

The following had not been entered in the cash book:

- a standing order for insurance, $345
- bank interest received, $15
- a dishonoured cheque from Jones, $265

(c) Update the cash book showing the adjusted balance at 31 March 2020.

(4)

Cash book – bank column

Date	Details	$	Date	Details	$

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6. Question 18 · part b · 3 marks · Working and answer

Working and answer

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7. Question 18 · part a · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part a only.

18 (a) Identify, indicating with a tick (✓), how **each** would be classified.

(3)

	Revenue expenditure	Capital expenditure
Machine delivery		
Machine installation		
Machine operatives' wages		

(b) Explain what distinguishes revenue expenditure from capital expenditure.

(5)

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7. Question 18 · part a · 3 marks · Working and answer

Working and answer

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8. Question 17 · part b · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

17 (a) State **one** difference between capital expenditure and revenue expenditure.

(2)

.....

.....

(b) Identify, indicating with a tick (✓), how **each** item would be treated when a new motor van is purchased for use in the business.

(3)

	Capital expenditure	Revenue expenditure
Installed shelving in van		
Motor insurance		
Signwriting on van		

Guy prepares his financial statements to 31 January.

On 1 February 2021, the balances on the motor vans accounts were:

Cost $146 000
Provision for depreciation $68 000

On 1 August 2021, Guy sold a motor van that he had purchased for $36 000 on 1 August 2019. He received a cheque for $25 000 in full settlement.

On 1 September 2021, Guy purchased a new motor van for $49 000 paid for by bank transfer.

Motor vans are depreciated at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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8. Question 17 · part b · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

(c) Prepare the following accounts for the year ended 31 January 2022.

(10)

Motor Vans - Cost Account

Date	Details	$	Date	Details	$

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 17 = 15 marks)

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8. Question 17 · part b · 3 marks · Working and answer

Working and answer

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9. Question 17 · part c · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

17 (a) State **two** causes of depreciation.

(2)

1 .....

2 .....

(b) State **one** difference between capital expenditure and revenue expenditure.

(2)

.....

.....

(c) Identify, indicating with a tick (✓), how each would be classified when a new motor vehicle is purchased.

(2)

	Capital expenditure	**Revenue expenditure**
Delivery cost		
Motor insurance		

Tanet prepares his financial statements to 31 March and he provided the following information at 1 April 2021.

	$
Motor vehicles – cost	68 000
Motor vehicles – provision for depreciation	18 240

On 30 June 2021, a motor vehicle purchased on 1 February 2019 costing $30 000 was sold for $16 400. The sale proceeds were received by credit transfer.

Tanet depreciates motor vehicles at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase but none in the year of disposal.

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9. Question 17 · part c · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

(d) Calculate the carrying value at 30 June 2021 of the motor vehicle that was sold.

(1)

.....

.....

(e) Prepare the provision for depreciation motor vehicles account for the year ended 31 March 2022. Balance the account on that date and bring the balance down on 1 April 2022.

(4)

Provision for Depreciation - Motor Vehicles Account

Date	Details	$	Date	Details	$

(f) Prepare the disposal account.

(4)

Disposal Account

Date	Details	$	Date	Details	$

(Total for Question 17= 15 marks)

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9. Question 17 · part c · 2 marks · Working and answer

Working and answer

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10. Question 18 · part a · 4 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

18 (a) Identify, indicating with a tick (✓), how **each** item of expenditure would be classified.

(4)

	Capital expenditure	Revenue expenditure
Purchase of inventory		
Purchase of machinery		
Installation of machinery		
Machine operator wages		

(b) State in which financial statement **each** would be shown.

(i) Capital expenditure

(1)

.....

(ii) Revenue expenditure

(1)

.....

On 1 May 2020 Xavier purchased two machines.

Xavier depreciates machinery at 30% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase but none in the year of disposal.

(c) Calculate the depreciation charge for **each** machine for **each** year.

(4)

	Cost $	Depreciation charge for the year ended 30 April 2021 $	Depreciation charge for the year ended 30 April 2022 $
Machine A	28 000		
Machine B	36 000		

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10. Question 18 · part a · 4 marks · Working and answer

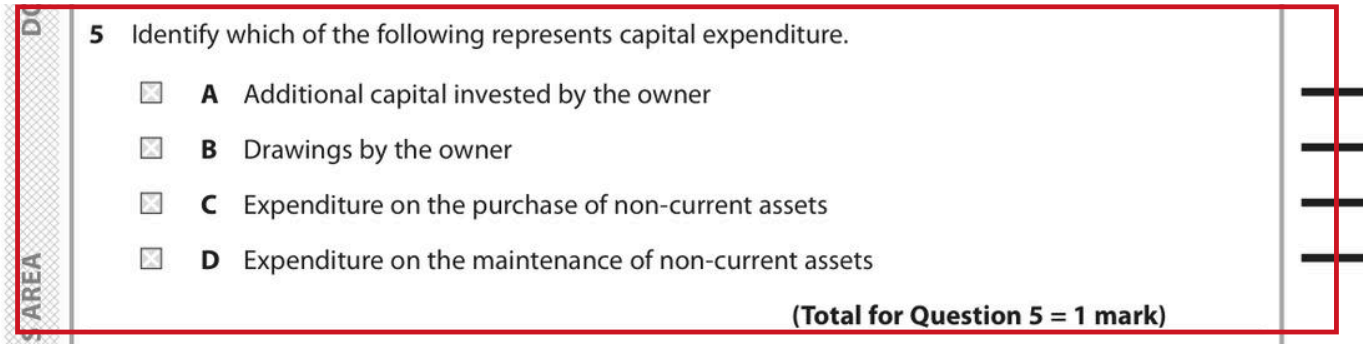
Working and answer

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11. Question 5 · part whole · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part whole only.



5 Identify which of the following represents capital expenditure.

☒ **A** Additional capital invested by the owner

☒ **B** Drawings by the owner

☒ **C** Expenditure on the purchase of non-current assets

☒ **D** Expenditure on the maintenance of non-current assets

(Total for Question 5 = 1 mark)

Working and answer

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12. Question 12 · part whole · 5 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

12 Identify, indicating with a tick (✓), whether **each** item would be classified as capital expenditure or revenue expenditure.

	Capital expenditure	Revenue expenditure
Purchase of new machinery		
Machinery repairs		
Legal fees paid for factory extension		
Painting sign on new vehicle		
Repainting sign on vehicle		

(Total for Question 12 = 5 marks)

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Working and answer

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13. Question 18 · part a · 4 marks

2025 JUN · Paper 01

Further practice · Attempt part a only.

18 (a) Complete the table, indicating with a tick (✓) whether **each** is capital expenditure or revenue expenditure.

(4)

	Capital expenditure	Revenue expenditure
Legal costs on purchase of business premises		
Bank loan interest on purchase of business premises		
Delivery cost of new machinery		
Insurance of new machinery		

Shauna started her business on 1 January 2022, purchasing two machines at a cost of $8 000 each. She decided to depreciate machinery at 20% per annum using the straight line method, on a month-by-month basis.

On 30 June 2024, she sold one machine for $4 600, receiving the proceeds by bank transfer.

On 1 July 2024, she purchased a new machine for $10 400

(b) Calculate the balance of the machinery-cost account at 1 July 2024.

(1)

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13. Question 18 · part a · 4 marks · Working and answer

Working and answer

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14. Question 18 · part a.i · 5 marks

2024 NOV · Paper 01

Further practice · Attempt part a.i only.

18 On 1 July 2024, Javid installed a new IT system in his premises in order to meet the demand for online shopping.

This project incurred the following costs.

	$
Redesign of premises to accommodate the new servers	20000
Cost of computer network	34000
Installation costs of the computer equipment	5000
Five-year maintenance contract for the network	3000 per annum
Training costs for IT staff on how to operate the network	12000
Training costs for delivery staff	4500

(a) Calculate the **total amount** of:

(i) capital expenditure

(5)

(ii) revenue expenditure.

(3)

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14. Question 18 · part a.i · 5 marks · Working and answer

Working and answer

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15. Question 18 · part a.ii · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part a.ii only.

18 On 1 July 2024, Javid installed a new IT system in his premises in order to meet the demand for online shopping.

This project incurred the following costs.

	$
Redesign of premises to accommodate the new servers	20000
Cost of computer network	34000
Installation costs of the computer equipment	5000
Five-year maintenance contract for the network	3000 per annum
Training costs for IT staff on how to operate the network	12000
Training costs for delivery staff	4500

(a) Calculate the **total amount** of:

(i) capital expenditure **(5)**

(ii) revenue expenditure. **(3)**

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15. Question 18 · part a.ii · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part a.ii only.

(iii) Explain your treatment of the cost of the redesign of the premises to accommodate the new servers.

(2)

(b) Explain the importance of the correct treatment of capital expenditure and revenue expenditure.

(5)

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(Total for Question 18 = 15 marks)

15. Question 18 · part a.ii · 3 marks · Working and answer

Working and answer

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16. Question 17 · part b.i · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b.i only.

17 (a) Explain each term:

(i) capital expenditure

(2)

(ii) revenue expenditure.

(2)

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16. Question 17 · part b.i · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b.i only.

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Dominic prepares financial statements to 30 June each year.

On 1 July 2025 Dominic purchased a new motor van.

	$
Basic cost price	45 000
Delivery cost	810
Road fund licence	360
Insurance	1 080
Installation of shelving	590
Annual maintenance contract	860

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(b) Calculate for the new motor van the total amount of:

(i) capital expenditure

(1)

(ii) revenue expenditure.

(1)

(iii) Identify, indicating with a tick (✓), the effect on gross profit if the total purchase cost of the new motor van was treated as revenue expenditure.

(1)

Overstated	
Understated	
No effect	

16. Question 17 · part b.i · 1 mark · Working and answer

Working and answer

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17. Question 17 · part b.ii · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b.ii only.

17 (a) Explain each term:

(i) capital expenditure

(2)

(ii) revenue expenditure.

(2)

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17. Question 17 · part b.ii · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part b.ii only.

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Road fund licence	360
Insurance	1 080
Installation of shelving	590
Annual maintenance contract	860

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(b) Calculate for the new motor van the total amount of:

(i) capital expenditure

(1)

(ii) revenue expenditure.

(1)

(iii) Identify, indicating with a tick (✓), the effect on gross profit if the total purchase cost of the new motor van was treated as revenue expenditure.

(1)

Overstated	
Understated	
No effect	

17. Question 17 · part b.ii · 1 mark · Working and answer

Working and answer

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